Theme C: Technology, Innovation, and Power

Subsidizing Competition: Consumer Welfare and Market Power in China's Food-Delivery Market

In 2025, China's food-delivery market entered a new subsidy war as JD challenged the existing dominance of Meituan and Ele.me. Large consumer coupons and merchant subsidies pushed effective prices unusually low, with some orders costing consumers almost nothing. Although these discounts immediately increased consumer welfare, such prices may be difficult to sustain when platforms themselves absorb much of the cost. This creates a conflict between short-run consumer benefits and long-run market competition. To what extent, therefore, do platform subsidies in China's food-delivery market increase short-run consumer welfare while strengthening long-run market power?

The new food-delivery battle

Before JD's entry in 2025, China's food-delivery market had long operated as an oligopoly, specifically an asymmetric duopoly. Meituan and Ele.me were estimated to hold market shares of approximately 65 percent and 33 percent, respectively, giving them a two-firm concentration ratio of 98 percent. By July 2025, Meituan had reached 120 million daily food-and-retail orders, while Ele.me, together with Taobao Instant Commerce, had reached 80 million daily orders in early July. The latest round of competition began in February 2025, when JD announced, "Join us now, zero commissions all year round," stating that restaurants registering before May 1 would receive year-long commission-free service. To establish its position in the market, JD aimed to attract dine-in restaurants and meet demand in different consumption scenarios. In response, Meituan promoted Meituan Instashopping, emphasizing a greater variety of products, consumer coupons, and approximately 30-minute delivery, whereas Alibaba integrated Ele.me with Taobao and announced an investment worth 50 billion yuan (US$7 billion) to drive further competition.

This intensified competition soon shifted toward consumer-facing subsidies. Consumer coupons are a form of promotion that reduces consumers' effective prices. The scale of these

discounts was significant, as 10 yuan (US$1.40) coupons were offered for orders costing as little as 11 yuan (US$1.54), while some coupons covered almost the full price of delivered breakfasts. In another study from Peking University, anonymized transaction data were used to estimate that each 1 yuan (US$0.14) of subsidy generated about 1.65 yuan (US$0.23) of additional spending on Ele.me, which indicated that subsidies increased consumer spending and purchases. The competition also extended beyond price. JD offered refunds for deliveries arriving more than 20 minutes late, while Meituan promoted approximately 30-minute delivery and a greater variety of products. Consumers who were more responsive to coupons may have benefited more, particularly when fixed-value coupons covered a larger proportion of smaller orders. However, the scale of these discounts may have been difficult to sustain, as JD's operating margin fell and Meituan recorded large losses during the competition. Therefore, consumer surplus increased in the short run, but much of this increase appears to have been a temporary transfer funded by platform losses rather than a permanent efficiency improvement.

The economics behind the losses

Platform losses raise another question: why are companies willing to continue subsidizing food delivery? JD, for instance, recorded approximately 46.6 billion yuan (US$6.7 billion) in operating losses from New Businesses, which includes its food-delivery business. However, the fact that food delivery is a high-frequency service helps explain why platforms are willing to accept losses in the short run. Unlike one-time purchases such as electronics, consumers may order meals several times each week. JD, Alibaba, and Meituan all describe food delivery and instant commerce as part of a larger ecosystem; JD evaluated the service partly in order to expand activities in its wider retail businesses. A larger user base may also attract more restaurants and riders, creating network effects and further increasing consumer choice. Meanwhile, profits and cash reserves from other business divisions may support these discounts through cross-subsidization. As order volumes increase, platforms may also benefit from economies of scale by spreading fixed costs across more transactions. In this sense, current losses may be treated as an investment in customer acquisition and future market power rather than immediate profits.

In the long run, the subsidy war may create a higher barrier to entry, as smaller platforms may not have the same financial resources as JD, Alibaba, and Meituan. For instance, JD held around

225.4 billion yuan (US$32.2 billion) in cash and short-term investments, while Alibaba held around 585.7 billion yuan (US$81.8 billion) in cash and other liquid investments. Sustained losses may discourage smaller firms from entering if they are required to match billions of yuan in subsidies before reaching sufficient scale. At the same time, network effects may further strengthen the largest platforms. A larger number of consumers attracts more restaurants and riders, while more restaurants and faster delivery make the platform more attractive to consumers. This creates a reinforcing cycle, making established platforms increasingly difficult to challenge. Meituan, for example, reported that it still maintained more than 60 percent of food-delivery gross transaction value in 2025 despite intense competition. If weaker competitors eventually exit, surviving platforms may face less pressure to continue large consumer subsidies. They could reduce coupons or potentially raise commissions and other platform fees. The State Administration for Market Regulation (SAMR) has also proposed restrictions on long-term, large subsidies that may restrict market competition, reinforcing concerns that stronger short-run competition could eventually weaken long-run contestability.

Regulation and global implications

These long-run risks help explain why regulatory intervention has become increasingly important. Such intervention can address concerns including irrational competition, below-cost pricing, and potentially exclusionary conduct. However, subsidies should not be entirely prohibited, as they may have legitimate purposes in developing new services while attracting new users. Instead, subsidies should be judged on multiple criteria, such as their duration and purpose, whether merchants participate voluntarily, and their effects on market competition. A complete ban may also reduce consumer welfare, as consumers would lose the benefits of lower effective prices and greater competition between platforms. In this context, disclosure requirements may provide a more balanced approach. SAMR has proposed that platforms disclose information before and after subsidy programs, allowing regulators and consumers to better understand how these promotions operate. Regulations may focus more specifically on long-term subsidies, forced merchant participation, and conduct that potentially excludes competitors, while still allowing temporary promotions and competition between platforms.

However, this regulatory challenge is not unique to China. China's food-delivery subsidy war also reflects a wider problem in global digital-platform markets. While digital platforms may

provide lower transaction costs, greater convenience, and wider consumer choice, network effects and economies of scale can create “winner-takes-most” markets, where larger platforms become increasingly difficult for new competitors to challenge. Similar concerns may also apply to ride-hailing, e-commerce, and other platform industries internationally. China’s case suggests that regulators should not focus solely on current low prices but also consider whether market contestability can be maintained in the long run. Overall, food-delivery subsidies increased consumer welfare in the short run through lower effective prices and greater competition. Nevertheless, these benefits appear to have been substantially funded by platform losses, while sustained subsidies may raise barriers to entry and strengthen future market power. Therefore, the short-run gains may not outweigh the long-run risks if competition becomes increasingly concentrated.